IN THE NATIONAL COMPANY LAW TRIBUNAL
INDORE BENCH
COURT NO. 1

ITEM No.203

(MP) CP(CAA) 4 of 2019 in CA(CAA) 31 of 2018

Proceedings under Section 230-232

IN THE MATTER OF:

Bhaskar Prakashan Pvt Ltd
Vishal Sagar Ad Lab Pvt Ltd **.....Applicants**

Order delivered on 30/09/2022

Coram:

Dr. Madan B. Gosavi, Hon'ble Member(J)
Kaushalendra Kumar Singh Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-Sd- -Sd-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

DR. MADAN B. GOSAVI
MEMBER (JUDICIAL)

Braj Mohan

NATIONAL COMPANY LAW TRIBUNAL
INDORE BENCH

CP (CAA) 04/230-232/MP/2019 in
CA (CAA) 31/230-232/MP/2018

[An Application filed under section 230-232 of the Companies Act, 2013 for (compromise, arrangements, and amalgamations)]

In the matter of

Bhaskar Prakashan Pvt. Ltd.
CIN: U22212MP1985PTC002911
A company incorporated under the
provisions of the Companies Act, 1956
and having its registered office at:
16, Amar Stambh, Press Complex,
Zone-I, MP Nagar, Bhopal,
Madhya Pradesh

……Petitioner No. 1 /Demerged Company

Vishal Sagar Ad Lab Pvt. Ltd.
CIN: U74300MP2015PTC034694
incorporated under the
Provisions of the Companies Act, 1956
and having its registered address at:
Near Maruti Showroom,
Panna Road, Satna,
Madhya Pradesh- 485001

……Petitioner No. 2/ Resulting Company

Order Reserved on:09.09.2022
Order Pronounced on:30.09.2022

Coram: Dr. Madan Bhalchandra Gosavi, Member (Judicial)
Kaushalendra Kumar Singh, Member (Technical)

Appearance:
Ld. Advocate Mr. Anup Nair, for the Petitioner Companies.

ORDER

1. This joint petition has been filed under sections 230-232 of the Companies Act, 2013 (the Act) by the petitioner companies seeking sanction of this Tribunal to a scheme of compromise, or arrangements by way of demerger of M/s Bhaskar Prakashan Private Limited (Demerged Company) with M/s Vishal Sagar Ad Lab Private Limited (Resulting Company) and their respective Shareholders and Creditors (hereinafter referred to as the "Scheme").

2. The petitioner companies had filed a joint Company Application CA (CAA) No. 31 of 2018 before this Tribunal seeking directions for dispensation for convening meetings of Shareholders, Secured Creditors and Unsecured Creditors of the petitioner companies in view of their consent affidavit. This Tribunal vide order dated 04.06.2018 directed to dispense with the meetings of the shareholders and secured creditors of the petitioner companies. There were no unsecured creditors in the petitioner companies so there was no requirement to convene the meetings of unsecured creditors.

3. By the order dated 04.06.2018, passed in CA (CAA) No.31 of 2018, this Tribunal had directed the petitioner companies to serve Notice of the Scheme in compliance with section 230(5) of the Companies Act, 2013 to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gwalior, Madhya Pradesh, (iii) the Sectoral Regulatory Authorities; and (iv) the Official Liquidator (in respect of the transferor companies) stating that representations, if any, to be made within a period of 30 days from the date of receipt of such notice, and in case no representation is received by this Tribunal within the stipulated period of 30 days, it should be presumed that the authorities have no representation to make. In compliance with the order dated 23.01.2020, the petitioner companies have served notices to the Central Government through the Regional Director, North-Western Region, the Registrar of Companies, Gwalior, Madhya Pradesh, the concerned Income Tax Authorities, and the Official Liquidator (in respect of the transferor companies) and filed affidavit of service.

4. The petitioner companies have jointly filed the present Company Petition being CP (CAA) No. 04 of 2019 before this Tribunal seeking sanction of the Scheme. This Tribunal by order dated 11.01.2019, admitted the petition and directed for publication of notice of hearing in English daily, **"Times of India"**, Bhopal edition, and Hindi translation thereof in **"Dainik Bhaskar"** Bhopal edition not less than ten days before the date fixed for hearing, calling for objections, if any, on or before the date of hearing. This Tribunal also directed to issue a notice of hearing of the petition to (i) Central Government through Regional Director, North-Western Region, (ii) Registrar of Companies, (iii) concerned Income Tax Authorities; and (iv) the Official Liquidator.

5. Pursuant to the order dated 11.01.2019 passed by this Tribunal, the petitioner companies have published the notice of hearing of the company petition in English daily, **"Times of India"**, Bhopal edition, and Hindi translation thereof in **"Dainik Bhaskar"**, Bhopal edition. The affidavit of service, on behalf of the petitioner companies, has been filed confirming the publication of the notice in the newspapers as directed and also the notice of hearing of the petition being served upon the concerned statutory authorities.

6. In response to the notice served upon the Regional Director (RD) and Registrar of Companies (ROC), a combined representation was filed by the RD dated 14.06.2019 with respect to the petitioner companies wherein the RD has made the following observations:

i. The petitioner companies have not attached valuation report in the matter.

ii. The resulting company to comply with the provisions of section 61 of the Companies Act, 2013 and also as to the payment of the stamp duty, registration fees, etc.

iii. The date of incorporation of the resulting company is 14.09.2015 which is after the appointed date of the scheme (i.e. 01.09.2015) which shows that on the appointed date, the resulting company was not in the existence.

iv. From the index of charges available on the MCA portal, it is observed that there are total Five (5) secured creditors in the demerged company.

v. The petitioner to undertake compliance of section 2 (19AA) of the Income Tax Act.

vi. As per the report of ROC dated 20.05.2019 there are no complaints against the petitioner companies and also there is no complaints/representation against the scheme of arrangement of the companies.

7. The petitioner companies in response to the RD report submitted that :

i. That as per demerger under section 2(19AA) of Income-tax Act, 1961, all the property/liabilities are transferred at book value (excluding increase in value due to revaluation). Thereby, Valuation Report is not required.

ii. The resulting company has complied with the provisions of section 61 of the Companies Act, 2013.

iii. That the Board of directors of both the companies have extended the date of scheme of arrangement by passing appreciate resolutions in their BODs meeting, from expiry dated 01.04.2015 to 31.03.2020.

iv. That there were only two secured creditors whose NOC was on record, but further 5 secured creditors are there and they do not have any objection to the scheme.

v. That the applicants are filing their current income tax returns which shows that they are complying with section 2 (19AA) of the Income-tax Act.

8. In response to the notice to the Official Liquidator (OL), the OL has submitted his separate report dated 11.06.2019 with respect to the petitioner companies wherein the OL has made the following observations:

i. The scheme of arrangement is silent with respect to the services of employees presently working with the demerged company. The demerged company to include the clause with respect to the services of the employees presently working with the demerged company.

ii. As stated in Part D under Clause 17 of the scheme submitted by the applicant companies, the scheme ends on 01.04.2015. In this regard, the applicant companies to submit a copy of Board resolution passed by their respective Board of Directors, if any, regarding the date of extension of scheme.

iii. On perusal of the balance sheet of the demerged company as on 31.03.2018, it was observed that there were seven secured creditors. The applicant companies might not have apprised the actual number of the secured creditors of the demerged company before the Tribunal. The demerged company to submit the NOC's in respect of the remaining five secured creditors.

iv. No provision for gratuity is made in accounts as per the accounting standard-15, which provides for provision of Gratuity payable to the employees on an accrual basis in each financial year.

v. The resulting company to take responsibility in respect of payment of Income Tax and other Taxes.

vi. The resulting company to preserve the books of accounts, papers and other records of the transferred undertaking of demerged company.

vii. The resulting company to comply with the requirements of accounting standards under section 133 of the Companies Act, 2013.

viii. The resulting company to ensure the statutory compliance of all applicable laws.

9. Submissions made by the petitioner companies in response to the observations of the Official Liquidator are as follows:

i. That the staff working in the de-merged company will not be retrenched because of present scheme of arrangement. All of them will be absorbed in the de-merged company.

ii. That the applicants have filed the resolution passed by their BOD for extending the scheme of arrangement from 01.04.2015 to 31.03.2020, as stated in Part-D under clause 17.

iii. That there were only two secured creditors whose NOC was already on record. Further 5 secured creditors were there

with the demerged company and they have no objection to the scheme of arrangement and have issued NOCs.

iv. That the demerged company is filing their audit report which shows they are complying with accounting standard-15.

10. Regional Director as well as the Official Liquidator also submitted that the related legal fees/expenses, for submitting the report and representing the matter may be paid by the petitioner companies.

11. Considering the above reply filed by the petitioner companies, the observations made by the Regional Director, ROC, and the representation of the Official Liquidator stand satisfied.

12. It has been submitted by the learned advocate appearing for the petitioner companies that the Scheme is not against public policy. It has also been stated that it will not adversely impact any unsecured creditors, and secured creditors of the petitioner companies. It has also been submitted that all statutory obligations under all applicable laws shall be complied with.

13. On the basis of the above facts and submissions made by the learned advocate and after considering the entire facts and circumstances of the aforesaid company petition and on perusal of the Scheme and the proceedings, it is noted that the requirements of the provisions of section 230 and 232 are satisfied by the petitioner companies. We are of the considered view that the proposed Scheme of demerger is bona fide and in the interest of the shareholders and creditors. As the result, Company Petition No. CP (CAA) No. 04 of 2019 is allowed. The Scheme envisaging amalgamation and demerger of M/s Bhaskar Prakashan Private Limited (Demerged Company) with M/s Vishal Sagar Ad Lab Private Limited (Resulting Company) is hereby sanctioned. It is declared that the said sanctioned scheme shall be binding on the petitioner companies and their shareholders, creditors, and all concerned under the scheme.

14. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule, or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the petitioners.

15. While approving the Scheme as above, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including income tax, GST, etc., or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

16. As a result, the Company Petition is allowed and we order as under:

i. The Scheme of Arrangement as annexed herewith as "Annexure A" is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their Shareholders and Creditors and all concerned under the Scheme. The A-Undertaking in relation to the demerged company shall be transferred to the resultant company.

ii. All the property annexed herewith as "Annexure B", of the demerged company concerning with A- Undertaking specified in the schedule be transferred without further act or deed to the resulting company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vested in the resulting company .

iii. All the liabilities and duties of the demerged company concerning with A-Undertaking be transferred without further act or deed to the resulting company and accordingly the same shall pursuant to section 232 of the Act, be transferred to and become the liabilities and duties of the resulting company.

iv. The employees engaged in relation to A-Undertaking of the Demerged Company shall stand transferred to the Resulting Company on the same terms and conditions at which these

employees are engaged by the Demerged Company without any interruption of services as a result of the transfer.

v. The petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered the A-Undertaking of demerged company shall be deemed to be transferred and the Registrar of Companies shall place all documents relating to the A-Undertaking of demerged company and registered with him on the file kept by him in relation to the resulting company and the files relating to the said companies shall be consolidated accordingly.

vi. The Petitioner Companies are directed to file a copy of this Order along with a copy of the Scheme of Arrangement duly authenticated by the Registrar of this Tribunal, with the Registrar of Companies, electronically, along with e-form INC- 28 within 30 days from the date of issuance of the certified copy of the order by the Registry as per relevant provisions of the Act.

vii. All proceedings, if any, now pending against the demerged company in relation to A-Undertaking be continued by or against the resulting company.

viii. The legal fees and expenses of the office of the Regional Director are quantified at Rs.10,000/- in respect of the Petitioner Companies. The said fees to the Regional Director shall be paid by the resulting company.

ix. The legal fees and expenses of the office of the Official Liquidator are quantified at Rs 10,000/- with respect to the petitioner transferor companies. The said fees to the Official Liquidator shall be paid by the petitioner transferee company.

x. All concerned Authorities to act on copy of this order along with the Scheme authenticated by the Registrar. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme.

xi. The Petitioner Companies are directed to lodge a copy of this Order along with the approved Scheme and Schedule of

Assets of the demerged company attached with this order as Annexure-A & Annexure-B respectively, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

xii. Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

17. With the above directions CP(CAA) 4 of 2019 in CA(CAA) 31of 2018 is allowed and disposed of.

-Sd- -Sd-

KAUSHALENDRA KUMAR SINGH **Dr. MADAN B. GOSAVI**
Member (Technical) **Member (Judicial)**

Surbhi/LRA

SCHEME OF ARRANGEMENT

BETWEEN

BHASKAR PRAKASHAN PRIVATE LIMITED

("THE DEMERGED COMPANY ")

AND

VISHAL SAGAR ADLABS PRIVATE LIMITED

("THE RESULTANT COMPANY")

AND

THEIR SHAREHOLDERS

UNDER SECTION 391 TO 394 READ WITH THE COMPANIES ACT 1956

The scheme of arrangement is presented under section 391 to 394 and other applicable provisions of the companies act 1956 for transfer and vesting of Designing Business (as defined herein after) of the Demerged undertaking of Bhaskar Prakashan Private Limited a company registered under companies act 1956 having its registered office at 16, Amar Stambh,Press Complex,Zone-I,M.P. Nagar, Bhopal - 452011 (hereinafter also referred to as' Demerged company'), as a going concern to Vishal Sagar Adlabs Private Limited, a company registered under the companies act 1956 having its registered office at Bhaskar Prakashan Private Limited , Near Maruti Showroom, Panna Road,Satna-485001 Madhya Pradesh, INDIA (hereinafter also referred to as "Resulting Company") pursuant to the relevant provisions of the companies act 1956.

RATIONALE FOR THE SCHEME

1. BPPL and VSAPL are part of Bhaskar Group (" the Group").

2. BPPL is a fully integrated News Paper Publishing Printing and Circulation to Company offering services, interalia, covering the entire value chain of.

3. VSAPL is a company registered for Designing for print media.

4. Designing form an integral part of Newspaper Printing.. Since the designing Business would also compliment the existing passive infrastructure vested with BPPL, the Designing Business is sought to be transferred to VSAPL.

5. The management of BPPL and VSAPL believe that the Scheme of Arrangement would benefit the respective companies and other stake holders of respective companies on account of the following reasons:

(a). Reduced set-up and operating costs resulting in cost efficiency coupled with a greater financial flexibility;

(b) Segregation of the business of providing News paper Printing Publishing and the business of Designing on a consolidated basis, thereby enabling each of the companies to concentrate on its core business activities.

(c) Promote high valued standalone business by conversion of cost- centric assets to revenue- centric ones by sharing of infrastructure of the Resulting Company with other companies operating in the same field.

This Scheme of Arrangement is divided into the following parts:

Part A -Deals with Definitions and Share Capital

Part B -Deals with the transfer and vesting of the Demerged Undertaking that is the Designing Business of Bhaskar Prakashan Private Limited into Vishal Sagar Ad labs Private Limited.

Part C -Deals with Issue of Shares for Part B of the Scheme

Part D -Deals with General Clauses, Terms and Conditions that will be applicable to the Scheme

PART-A

1. Definitions

In this Scheme of Arrangement, unless inconsistent with the subject or context, the following expressions shall have the following meanings:

1.1 "Act" means the Companies Act, 1956, or Companies Act, 2013, as the case may be, or any statutory modification or re-enactment or amendment thereof for the time being in Force.

1.2 "Appointed Date" for the purpose of this Scheme means the 1day of September, 2015.

1.3 "Board of Directors" or "Board" means the board of directors of the Demerged Company or the Resulting Company, as the case may be, and shall include a duly constituted committee thereof.

1.4 "Bhaskar Prakashan Private Limited" or "the Demerged Company" means Bhaskar Prakashan Private Limited, a company registered under the Companies Act, 1956 having Its registered office at 16, Amar Stambh,Press Complex,Zone-I,M.P. Nagar, Bhopal - 452011.

1.5 "Court" or "High Courts" 'means the High Court of Judicature of Madhya Pradesh at Jabalpur and shall include the National Company Law Tribunal, if applicable.

1.6 "Designing Business" means Print design Grapic design,Brand design, Multimedia design,2D Animation design, 3D Animation design, outdoor advertising design and use various methods to create

words, symbols, and images to create a visual representation of idea and messages. A graphic designed may use a combination of typography, visual arts and page layout techniques to produce a final result.

1.7(a) Asset of "Designing Business" means Satna office & Residential Building, Mumbai office and Delhi Office of the Bhaskar Prakashan Private limited the Asset that can be used in Designing of the Demerged Company relating to Designing as referred in **Annexure No. 1**

(b) Also all rights, regulatory approvals, entitlements, of assets as described in **Annexure No 1** as determined by the Board of the Demerged Company;

(c) Any other asset/ liability which is deemed to be pertaining to the designing business by the Board of the Demerged Company. Explanation: In case of any doubt regarding whether any particular asset or liability forms part of the Designing Business or otherwise, the same shall be resolved mutually by the board of the Demerged Company and the Resulting Company.

All terms and words not defined in this Scheme shall unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the" Act. and other applicable laws, rules, regulations, bye-laws, as the case may be or any statutory modification or re-enactment thereof from time to time.

1.8 "Effective Date" or "coming into effect of this Scheme" .means the last of the dates on which the certified copies of the orders sanctioning this Scheme passed by the High Court of Judicature at Madhya Pradesh at Jabalpur bench or such other competent authority are filed with the Registrar of Companies, Gwalior by all the companies who are a party to this Scheme.

1.9 Vishal Sagar Adlabs Private limited or "the Resulting Company" means Vishal Sagar Adlabs Private limited, a company incorporated under sub- section (2) of section 7 of the Companies Act, 2013and rule 8 of the Company (Incorporation) Rules,2014 , having its registered office at Bhaskar Prakashan Private Limited, Near Maruti Showroom, Panna Road, SATNA-485001 Madhya Pradesh, INDIA.

1.10 Remaining Business means all the assets and liabilities and business of Bhaskar Prakashan Private limited, other than the Demerged Undertaking.

1.11 "Scheme" or "the Scheme" or "this Scheme" means this Scheme of Arrangement in its present form or with any modification(s) made under Clause 14 of this Scheme as imposed or directed by the High Court of Judicature of Madhya Pradesh or such other competent authority, as may be applicable.

2. Share Capital

2.1 The details of the Share Capital of the Demerged Company namely "Bhaskar Prakashan Pvt. Ltd." as on March 31, 2015 was as under

Particulars	**Amount (Rs.)**
Authorised Capital 1,50,000 equity shares of Rs.100/- each Issued, Suscribed and Paid-Up Capital 1,50,000 equity shares of Rs.100/- each fully Paid	15,000,000 15,000,000
Total	**15,000,000**

2.2 The details of the Share Capital of the Resulting Company namely " Vishal Sagar Ad Labs Private Limited" as on September 14,2015.

Particulars	Amount (Rs.)
Authorised Capital	
50,000 equity shares of Rs.10/- each	5,00,000
Issued, Suscribed and Paid-Up Capital	
10,000 equity shares of Rs.10/- each fully Paid	1,00,000
Total	**1,00,000**

There has been no change in the capital structure post September 14, 2015.

3. Date of Taking Effect and Operating Date-

The Scheme as set out herewith in its present form or with any modification(s) approved or imposed or imposed or directed by the high Court's shall be effective from Appointed Date, but shall be operative from the Effective Date.

PART B

4. Transfer and Vesting of Demerged Undertaking.

4.1 Upon the coming into effect of this Scheme and with effect from the Appointed date, the designing business along with the related assets and properties of the Demerged Undertaking as defined in clause 1.6 shall pursuant to the provisions of the Sections 391 to 394 and without any further act, deed, matter or thing, stand transferred to and vested in and /or be deemed to be transferred to and vested in the Resulting Company on a going concern basis, so as to vest in the Resulting company all rights, title and interest pertaining to the Demerged undertaking.

4.2 With effect from the Appointed Date, all liabilities, contingent liabilities, duties and obligations of every kind, nature and description of the Demerged Company relatable to the Demerged Undertaking shall also, under the provisions, if any , of the Act, and without any further act or deed, be transferred or deemed to be transferred to the Resulting company, so as to become from the Appointed date the liabilities, contingent liabilities, duties and obligation of the Resulting company and it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by the virtue of which such liabilities, duties and obligations have arisen in order to give effect to the provisions of this sub-clause.

4.3 Where any of the liabilities and obligations attributed to the Demerged Undertaking on or after the appointed date have been discharged by the Demerged Company on behalf of the Demerged Undertaking after the appointed and prior to the effected date, such discharge shall be deemed to have been for and on behalf of the Resulting company.

4.4 All Cheques and other negotiable instruments, payments orders receive in the name of the Demerged Undertaking after the effective date shall be accepted by the bankers of the Resulting company and

credited to the accounts of the Resulting company, if presented by the Resulting company as pertaining to the Demerged undertaking.

4.5 With effects from the appointed date and upon the scheme becoming effective any statutory licences, permissions or approvals or consent held by the Demerged company required to carry on operations of the Demerged Undertaking shall stand vested or transferred to the Resulting company without any further act or deed, and shall be appropriately mutated by the statutory authorities concern therewith in favor of the Resulting company. The benefits of all statutory and regulatory permissions, environmental approvals and consents, registration or all other licenses, and consents shall vest in and become available to the Resulting company pursuant to the scheme in so far as the special incentives schemes and various incentives, subsidies, rehabilitation schemes, special status and other benefits and privileges enjoyed (if any), granted by any Government Body, Local authority or by any other person, or availed of by the Demerged undertaking are concerned, the same shall vest with and be available to the Resulting Company on the same terms and conditions.

4.6 This Scheme has been drawn up in compliance with the conditions relating to "Demerger" as specified under Section 2(19AA) of the Income -tax Act, 1961. If any terms or provisions of the scheme are found or, interpreted to be inconsistent with the provisions of the said section at a later date including Resulting from an amendment of law or for any other reason whatsoever, the provisions of the said section of the Income-Tax Act,1961 shall prevail and the scheme shall stand modified to the extent determined necessary to comply with section 2(19AA) of the Income-tax Act,1961.Such modification will however not affect the other parts of the scheme.

5. STAFF AND EMPLOYEES

On coming into effect of this scheme, the Resulting Company will recruit new staff and employees for continuing its operations.

6. LEGAL PROCEEDINGS

6.1. All legal proceedings of whatsoever nature by or against Demerged Undertaking pending and /or arising to the Appointed Date, as and form the Effective Date shall be continued and enforced by or against the Resulting Company in the manner and to the same extent as would or might have been continued and enforced by or against the Demerged Undertaking. On and from the Effective Date, the Resulting Company shall and may, if required, initiate or defend any legal proceedings in relation to and in the name of the Demerged Undertaking.

6.2 After the Appointed Date, if any proceedings are taken against the Demerged Undertaking, in respect of the matters referred to in the Sub-Clause 6.1 above, it shall defend the same at the cost of the Resulting Company and the Resulting Company shall reimburse and indemnity the Demerged Company against all the liabilities and obligations incurred by the Demerged Company in respect thereof.

6.3 The Resulting Company undertakes to have all legal or other proceedings initiated by or other proceedings initiated by or against the Demerged Undertaking referred to in clause 6.1 above transferred into its name and to have the same continued, prosecuted and enforced by or against the Resulting Company to the exclusion of the Demerged Company.

7. CONTRACTS, DEEDS AND OTHER INSTRUMENTS.

7.1 Notwithstanding anything to the contrary contained in the Contract, deed, bond, agreement or any other instrument, but subject to the other provisions of this Scheme, all contracts, deeds, bonds, agreements and other instruments, if ,any, of whatsoever nature and subsisting or having effect on the Effective Date and relating to the Demerged Undertaking shall continue in full force and effect against or In favor of the Resulting Company, and may be enforced effectively by or against the Resulting Company as fully and effectually as if, instead of the Demerged) Company, the Resulting Company had been a party thereto from inception.

7.2 The Resulting Company may, at any time after the coming into effect of this Scheme in accorda:1ce with the provisions hereof if so required, under any law or otherwise, enter into, "Or issue or execute deeds, writings, confirmations, novations, declarations, or other documents with, or in favour of any party to any contract or arrangement to which the Demerged Company is a party or any writings as may be necessary to be executed in order to give formal effect to the above provisions. The Resulting Company shall, be deemed to be authorized to execute any such writings on behalf of the Demerged Company and to carry out or perform all such formalities or compliances required for the purposes referred to above on the part of the Demerged Company.

8. TRANSACTIONS UPTO THE EFFECTIVE DATE

8.1 'With *effect* from the Appointed Date and up to and including the Effective Date:

(a) the Demerged Company shall carry on and be deemed to have carried on the business and activities in relation to the Demerged Undertaking and shall stand possessed and hold all of the properties and assets relating to the Demerged Undertaking for and on account of and in trust for the Resulting Company. The Demerged Company undertakes hold the said assets with utmost prudence until the Effective Date.

(b) all profits and income accruing or arising to the Demerged Company from the Demerged Undertaking, and losses and expenditure arising or incurred by the Demerged Company (including taxes, if any, accruing or paid in relation to any profits or income) relating to the Demerged Undertaking shall, for all purposes and intents, be treated as and be deemed to be and accrue the profits, income, losses or expenditure, as the case may be, of the Resulting Company;

(c) the Demerged Company shall carryon the business and activities with reasonable diligence, business prudence, and shall not without the prior written consent of the Resulting Company or pursuant to any pre·existing obligation, sell, transfer or otherwise alienate, charge, mortgage or encumber or otherwise deal with or dispose of the undertaking relating to the Demerged Undertaking or any part thereof except in the ordinary course of its business nor shall it undertake any new business or a substantial expansion of its existing Demerged Undertaking.

9. CONDUCT OF BUSINESS

With effect from the Appointed Date and upto and including the Effective Date:

9.1 The Demerged Company in respect of the Demerged Undertaking shall carry on and be deemed to have been carrying on the business and activities and shall stand possessed of and hold all of its properties and assets for and on account of and in trust for the Resulting Company. The Demerged Company hereby undertakes to hold the said assets with utmost prudence until the Effective Date;

9.2 All the profits or income accruing or arising to the Demerged Company in respect of the Demerged Undertaking or expenditure or losses arising to or incurred by the Demerged Company in respect of the Demerged Undertaking, shall for all purposes and intents be treated and be deemed to be and accrue as the profits or incomes or expenditure or losses (as the case may be) of the Resulting Company;

9.3 The Demerged Company in respect of the Demerged Undertaking shall. carry on the business and activities with reasonable diligence, business prudence and shall not without the prior written consent of the Resulting Company, alienate, charge, mortgage, encumber or otherwise deal with or dispose off its Demerged Undertaking on or any part thereof except in respect of activities in the ordinary course of business nor shall it undertake any new businesses within the Demerged Undertaking or a substantial expansion of the existing Demerged Undertaking.

9.4 Where any of the liabilities and obligations attributed to the Demerged Undertaking on or after the Appointed Date has been discharged by the Demerged Company on behalf of the Demerged Undertaking after the Appointed Date but prior to the Effective Date, such discharge shall be deemed to have been for and on behalf of the Resulting Company.

9.5 The Demerged Company shall not vary or alter, except In the ordinary course of its business and as may be required for reorganization, the terms and conditions of employment of any of Its employees, in relation to the Demerged Undertaking.

10. SAVINGS OF CONCLUDED TRANSACTIONS

The transfer of properties and liabilities under Clause 4 above and the continuance of proceedings by or against the Demerged Undertaking under Clause 6 shall not affect any transaction or proceedings already concluded by the Demerged Undertaking on or after the Appointed Date till the Effective Date, to the end and intent that the Resulting Company accepts and adopts all acts, deeds and. things done and executed by the Demerged Undertaking in respect thereto as done and executed on behalf of itself.

11. REMAINING BUSINESS

The Remaining Business of the Demerged Company and all the assets, liabilities and obligations pertaining thereto shall continue to belong to and be vested in and be managed by the Demerged Company.

PART C

12. CONSIDERATION

12.1 The consideration for the transfer and vesting of Designing Business by the Demerged company to the Resulting Company shall be the book value as may be shown in the books of the Demerged Compnay. Its is clarified that the book value of each Assets & Liabilities of Designing Business shall be aggregated to determining the Consideration for the transfer.

12.2 The Consideration for the transfer of the Designing Business is discharged by the issue of Equity shares of the Resulting Company to the Shareholders of Demerged Company on pro-rata basis.

12.3 The Resulting Company shall take necessary steps to increase or alter, if necessary, its Authorized Share Capital suitably to enable it to issue and allot the New Equity Shares pursuant to this Scheme.

12.4 The Resulting Company shall, if and to the extent required, apply for and obtain any approvals from concerned regulatory authorities for the issue and allotment of shares by the Resulting Company, under the Scheme.

12.5 The Equity Shares issued and allotted by the Resulting Company in terms clause 12.1 of this Scheme shall be subject to the provisions of Memorandum and Articles of Association of the Resulting Company, as the case may be and shall rank pari passu in all respects with the then existing Equity Shares of the Resulting Company, including in respect of dividends, If any, that may be declared by the Resulting Company on or after the Effective Oats, as the case may be.

12.6 The approval of this Scheme by the shareholders of the Resulting Company under Section 391 and Section 394 of the Act shall be deemed to have the approval under Section 81A and other applicable provisions of the Act and any other consents and approvals required in this regard.

PART D

13. ACCOUNTING TREATEMENT

In the Books of the Resulting Company

13.1 The Resulting Company shall, upon coming into effect of this scheme, record the assets and liabilities of the Demerged Undertaking vested in pursuant to this scheme, at the respective book value as appearing in the books of Demerged Undertaking, at the close of the business on the day immediately preceding the appointed date.

13.2 The Resulting company shall credit to its share capital account the aggregate face value of the equity shares issued by it to the share holders of the Demerged Company.

13.3 The Difference , being the excess of the book value of assets of the Demerged undertaking over the book value of the liabilities, over the face value of the equity shares issued as per clause 12.1 of this scheme, shall be credited by the Resulting company to its capital reserve account. The deficit, if any, shall be debited to goodwill account.

In the Books of the Demerged Company

13.4 The book value of the assets and liabilities pertaining to Demerged undertaking transferred by the Demerged Company to the Resulting company, shall be reduced from the book values of the assets and liabilities appearing in the books of Demerged Company; and

13.5 The excess of assets over liabilities of the Demerged undertaking transferred to the Resulting company shall be adjusted against the general reserve of the Demerged company.

14. APPLICATION TO THE HIGH COURT(s) OR SUCH OTHER COMPETENT AUTHORITY.

The Demerged Company and the Resulting Company shall make their respective applications/ petitions under section 391 and section 394 and other applicable provisions of the said Act to the High Court of Madhya Pradesh , for sanction of this Scheme under the provision of law.

15. MODIFICATION OR AMENDMENTS TO THE SCHEME

15.1 The Demerged Company and the Resulting Company by their respective board of directors may make any modification or amendments as may be essential or necessary or may assent to the modification / amendments to the scheme or to any conditions or limitations that the court and/ or any conditions or limitations that the court and/ or any other authority may deem fit to direct or impose or which may otherwise be considered necessary, desirable or appropriate by them (i.e. the Boards of Directors), including the withdrawal of this scheme.

15.2 No modification or amendment to the scheme will be carried out or effected by the Board without approaching the High Court.

15.3 The Demerged Company and the Resulting Company through its Board of Directors be and are hereby authorised to take all such steps as may be necessary, desirable or proper to resolve any doubts, difficulties or questions whether by reason of any directive or orders of any other authorities or otherwise howsoever arising out of or under or by virtue of the scheme and / or any matter concerned or connected therewith.

16. CONDITIONALITY OF THE SCHEME

This Scheme is and shall be conditional upon and subject to:

(i) The Scheme being approved by the requisite majority of the shareholders and / or creditors of the Resulting Company and the Demerged Company as directed by High Court of Judicature at Madhya Pradesh.

(ii) The Scheme being sanctioned by the High Court of Judicature at Madhya Pradesh or an other authority under Sections 391 to 394 of the Act.

(iii) The Certified copy of the court order sanctioning the Scheme being filed with the Registrars of Companies, Madhya Pradesh any other Registrar of Companies as my be applicable.

17. EFFECT OF NON-RECEIPT OF APPROVALS

In the event of any of the said sanctions and approvals referred to in the preceding Clause 16 not being obtained and / or the Scheme not being sanctioned by the High court or such other competent authority and / or the order or orders not being passed as aforesaid before April 1, 2015 or such other date as may be agreed by the respective Board of Directors of the Demerged Company and the Resulting Company may determine, the Scheme shall become null and void, and the Resulting Company shall bear the entire cost, charges and expenses in connection with the scheme unless otherwise mutually agreed.

18. COSTS, CHARGES & EXPENSES

All costs, charges, taxes including duties, levies and all other expenses, if any (save as expressly otherwise agreed) to give effect to the scheme shall be borne by the Resulting Company.

19. TAX CREDITS

The Resulting Company will be same group company of the Demerged Company visa-a-vis, the Designing. Hence, it will be deemed that the benefits of any tax credits, central or state availed visa-a-vis the designing Business and the obligations if any for the payments for tax on any assets forming parts of business or their installation etc, shall be deemed to have been availed by the Resulting Company as the case may be deemed to be the obligations of the Resulting Company. Consequently, and as the scheme does not contemplate removal of any assets by the Resulting Company from the premises in which it is installed, no reversal of any central or state tax credits need to be made or is required to be made by the Demerged Company.

20. STAMP DUTY

As there are no transfer within the meaning of Transfer of Property Act, stamp duty shall not be payable.

Details of Assets transfer to the Resulting Company

Description of Asset	Amount
Asset Located at Satna	
Office Land & Building (Bhaskar Prakashan Private Limited,Bishambhar Bhavan Panna naka Satna (M.P.)Admeasuring 7212 Sq.Ft. (Built Up Area)	872,661.00
Residence Land and Building (Prabhat Bihar Colony, Satna (M.P.) Plot Area 4600 Sq.Ft. Built Up Area. 2500 Sq.Ft.)	5,635,092.00
Asset Located at Mumbai	
Mumbai Office Unit (Marathon Nextgen Realty Ltd. Unit. No. B1-405 in Wing B1 Marathon Innova IT Park Situated At Off G.K. Marg Lower Parel (W) Mumbai – 400013, 978 Sq. Ft. Carpet Area 655 Sq. Ft. With 1 Nos. dedicated Car Parking.)	15,299,945.00
Asset Located at Delhi	
Delhi Office Unit (The Corenthem Building, Unit No. 06/ Tower – A/Lobe – 1 (Third Floor) Super Area 156.52 Sq. Mtrs.(Covered Area 102.30 Sq.Mtrs.) Built on Institutional Plot No. A-41 Sector-62 Noida Distt. Gautam Budh Nagar U.P.)	6,374,049.00
Total Value	**28,181,747.00**